

Account Holder

Dr. David K. Mutua

The Mutua Family Trust · Nairobi, Kenya

Portfolio Reference: **ARV-WM-2026-0894**

PRIMARY IFA / ADVISOR

Arnold Oduma

Senior Wealth Lead

CMA LICENSE

CMA/UT/048

REPORTING CURRENCY

KES (KSh) & USD (\$)

FX: 129.45 KES/USD

RISK PROFILE

Balanced Growth

PORTFOLIO PERFORMANCE HIGHLIGHTS

TOTAL PORTFOLIO
AUM

KSh

148.50M

~\$1,147,160 USD

NET MONTHLY YIELD

KSh

1,518,450

+1.02% Net M-o-M

WEIGHTED YIELD
(P.A.)

14.88%

Annualized Coupon

KRA TAX WITHHELD

KSh

204,300

15% Source Tax (MMF)

Executive Advisor Briefing (Arnold Oduma — Senior Wealth Lead)

Dear Dr. Mutua, during the month of July 2026, your portfolio value expanded to **KSh 148,500,000**, generating **KSh 1,518,450 in net monthly cash income** after deducting 15% Kenya Revenue Authority (KRA) withholding tax at source on Money Market Fund distributions. Your 20.2% allocation to tax-exempt Central Bank of Kenya (CBK) Infrastructure Bonds (IFB1/2023/17Yr) generated **KSh 357,500 in 100% tax-free income**, optimizing your effective tax drag down to just 11.8% across total fixed income earnings.

HISTORICAL PORTFOLIO AUM TRAJECTORY (12 MONTHS)

REPORTING MONTH	STARTING AUM (KSH)	MONTHLY RETURN	NET INCOME ACCRUED	CLOSING AUM (KSH)
August 2025	132,000,000	+1.18%	1,310,000	133,310,000
November 2025	136,500,000	+1.22%	1,380,000	137,880,000
February 2026	141,200,000	+1.15%	1,425,000	142,625,000
May 2026	145,000,000	+1.19%	1,480,000	146,480,000
July 2026 (Current)	146,981,550	+1.02%	1,518,450	148,500,000

CURRENT ASSET CLASS BREAKDOWN

ASSET CATEGORY & FUND NAME	TARGET STRATEGY	CURRENT VALUE (KSH)	% WEIGHT	EFFECTIVE YIELD
Arvocap Money Market Fund (MMF)	High Liquidity / Daily Yield	45,000,000	30.3%	15.40% p.a.
Almasi Fixed Income Fund	Medium-Term Corporate & Sovereign Debt	52,000,000	35.0%	14.80% p.a.
CBK Infrastructure Bond (IFB1/2023/17Yr)	Tax-Exempt Sovereign Coupon	30,000,000	20.2%	14.30% p.a.
NSE Blue-Chip Equities (Safaricom, Equity Bank)	Capital Appreciation & Dividends	14,500,000	9.8%	6.50% div.
Offshore USD Liquidity (\$54,082 USD)	Currency Hedge & Global Exposure	7,000,000	4.7%	5.10% p.a.
TOTAL PORTFOLIO HOLDINGS		148,500,000	100.0%	14.88% avg

VISUAL ALLOCATION WEIGHTING

Asset Class Allocation Share

Fixed Income (Almasi + IFB)	55.2% (KSh 82.0M)
Money Market Fund (MMF)	30.3% (KSh 45.0M)
NSE Equities	9.8% (KSh 14.5M)
USD Currency Hedge	4.7% (KSh 7.0M)

Allocation Risk & Maturity Profile

Your portfolio maintains an optimal liquidity ladder. With **30.3% in the Arvocap MMF**, you have **KSh 45,000,000 available for T+1 immediate redemption**. The 35.0% allocation in Almasi Fixed Income captures high domestic interest rates, while the tax-free status of the CBK Infrastructure bond insulates your net investment income from KRA tax revisions.

JULY 2026 INTEREST ACCRUAL & TAX AUDIT

FUND / SECURITY INSTRUMENT	CAPITAL PRINCIPAL (KSH)	GROSS COUPON / YIELD	GROSS INTEREST (KSH)	KRA WITHHOLDING TAX (15%)	NET PAYOUT (KSH)
Arvocap Money Market Fund	45,000,000	15.40% p.a.	577,500	-86,625	490,875
Almasi Fixed Income Fund	52,000,000	14.80% p.a.	641,333	-96,200	545,133
CBK Infrastructure Bond (IFB1/2023)	30,000,000	14.30% p.a.	357,500	0 (Tax Exempt)	357,500
Offshore USD Yield (\$54,082)	7,000,000	5.10% p.a.	29,750	-4,463	25,287
NSE Dividend Accrual	14,500,000	6.50% div.	117,813	-17,672	100,141
MONTHLY TOTALS	148,500,000	13.91% net	1,723,896	-205,460	1,518,436

BENCHMARK COMPARATIVE YIELD ANALYSIS

BENCHMARK INDEX / RATE	ANNUALIZED RETURN	ARVOCAP DELTA (+/-)	MARKET STATUS
Arvocap Weighted Net Portfolio Yield	14.88% p.a.	Baseline	★ Active Outperformance
CBK 91-Day Treasury Bill Rate	15.82% p.a.	-0.94%	Gross Rate (Pre-KRA Tax)
Nairobi Inflation Rate (KNBS July 2026)	4.30% p.a.	+10.58%	Real Capital Growth Preserved
NSE 20 Share Index Annualized Return	8.40% p.a.	+6.48%	Equity Volatility Hedged

KENYAN MACROECONOMIC ENVIRONMENT & CENTRAL BANK POLICY

CBK CENTRAL BANK RATE

12.75%

Monetary Policy Stance

KNBS INFLATION RATE

4.30%

Within Target Band (2.5-7.5%)

KES / USD EXCHANGE RATE

129.45

Stable Foreign Reserves

1. Central Bank of Kenya (CBK) Yield Curve Analysis

The CBK Monetary Policy Committee maintained the Central Bank Rate (CBR) at 12.75% in their recent sitting. Domestic liquidity remains healthy, supported by steady diaspora remittances and robust agricultural exports. Yields on short-term 91-day T-Bills have stabilized at 15.82%, creating an attractive environment for fixed-income fund managers like Arvocap to lock in double-digit yields for investors.

2. Nairobi Securities Exchange (NSE) & Equity Rebound

The NSE 20 Share Index gained +2.4% during July, driven by strong quarterly earnings reports from tier-1 banking institutions (Equity Group Holdings, KCB Group) and Safaram PLC. Your portfolio's 9.8% equity exposure captures high dividend yields while maintaining downside protection through Arvocap's defensive stock selection.

3. East African Community (EAC) & Eurobond Debt Outlook

Kenya's external debt profile remains stable following successful coupon payments on the 2028 Eurobonds. Infrastructure bonds (IFB) continue to command primary demand from institutional pension funds and HNI trusts seeking tax-exempt double-digit yields.

RECOMMENDED PORTFOLIO REBALANCING PLAN

Strategic Rebalancing Proposal (August 2026 Execution)

To further optimize your net after-tax yield, Arvocap Wealth Management recommends reallocating **KSh 5,000,000** from the **Money Market Fund** into the **tax-exempt CBK Infrastructure Bond (IFB1/2023)**. This adjustment increases your tax-exempt income stream and boosts overall net annual return by **+0.28% (KSh 415,000 additional annual cash flow)** without compromising your core liquidity requirements.

REBALANCING ACTION	SOURCE FUND	TARGET FUND / SECURITY	AMOUNT (KSH)	EXPECTED NET YIELD IMPACT
Reallocate Liquidity	Arvocap Money Market Fund	CBK Infrastructure Bond (IFB1/2023)	5,000,000	+KSh 415,000 / yr (Tax-Free)
Dividend Reinvestment	NSE Cash Dividends	Almasi Fixed Income Fund	100,141	Compounds at 14.80% p.a.

ADVISOR CERTIFICATION

Arnold Oduma

Senior Wealth Lead · Arvocap Asset Managers

Digital Signature Hash: a8f9c42b109e33d7

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